

COLLEGE ACCOUNTING (105)

—Post-secondary—

NATIONAL – 2019

Multiple Choice Section:

Multiple Choice (17 @ 2 points each) _____ (34 points)

Short Answer (8 @ 3 points each) _____ (24 points)

Problems:

Problem 1: Installment Note _____ (52 points)

Problem 2: Journal Entries _____ (64 points)

Problem 3: Statement of Cash flows _____ (51 points)

TOTAL POINTS _____ ***(225 points)***

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation

No more than 90 minutes testing time

No more than ten (10) minutes wrap-up

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General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice should be completed first, then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

GAAP

Percents rounded to the tenth percent (Ex: 22.8%)

Perpetual Inventory

Round all dollar amounts to the nearest cent

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. A corporation has the following traits:
 - a. Is difficult to start.
 - b. Divides ownership into shares.
 - c. Pays business tax.
 - d. All of the above.
2. The corporate financial statement that reports the company's financial position is called the _____.
 - a. Income Statement
 - b. Statement of Owner's Equity
 - c. Retained Earnings Statement
 - d. Balance Sheet
3. How do you calculate Basic Earnings Per Share?
 - a. $\text{Net Income} / \text{Average Number of Common Shares Outstanding}$
 - b. $\text{Net Income} - \text{Common Dividends} / \text{Average Number of Common Shares Outstanding}$
 - c. $\text{Net Income} / \text{Average Number of Common Shares Outstanding} - \text{Preferred Shares}$
 - d. $\text{Net Income} - \text{Preferred Dividends} / \text{Average Number of Common Shares Outstanding}$
4. Which of the following is an example of an intangible asset:
 - a. Prepaid Insurance
 - b. Patents
 - c. Generator
 - d. Merchandise Inventory
5. What are the two methods of dealing with Bad Debts?
 - a. Direct Write Off Method and Allowance Method
 - b. Direct Write Off Method and Bad Debts Method
 - c. Allowance Method and Bad Debts Method
 - d. Bad Debts Method and Accounts Receivable Aging Method
6. The Matching Concept tells us that the _____ a. Cash account should match with the Cash Flow Statement
 - b. te Accounts Receivable account should match the subsidiary ledger total.
 - c. Revenues and Drawing accounts should be matched to the correct period.
 - d. Revenues and Expense accounts should be matched to the correct period.
7. Stock splits should _____.
 - a. increase the par value of the stock.
 - b. increase the number of shares authorized.
 - c. decrease the par value of the stock.
 - d. decrease the number of shares authorized.

8. The entry to record the sale of \$2,000,000 of Bonds for cash of \$2,090,000 would be:
- | | | | |
|----|-------------------|-----------|-----------|
| a. | Cash | 2,000,000 | |
| | Bonds Payable | | 2,000,000 |
| b. | Cash | 2,090,000 | |
| | Bonds Payable | | 2,090,000 |
| c. | Cash | 2,090,000 | |
| | Bonds Payable | | 2,000,000 |
| | Discount on Bonds | | 90,000 |
| d. | Cash | 2,090,000 | |
| | Bonds Payable | | 2,000,000 |
| | Premium on Bonds | | 90,000 |
9. Which account would be credited to amortize a bond discount?
- Interest Expense
 - Discount on Bonds
 - Bonds Payable
 - None of the above
10. What are the three sections of the Statement of Cash Flows?
- Investing, Financing, and Banking
 - Financing, Banking, and Operating
 - Banking, Operating, Investing
 - Operating, Investing, Financing
11. The Statement of Cash Flows is the only financial statement with a check figure. The check figure is the last number on the statement and will equal the _____ .
- Net Income
 - Beginning Cash Balance
 - Ending Cash Balance
 - Ending Capital Balance
12. What are the two sections of the equity section of a corporation's balance sheet?
- Paid in Capital and Retained Earnings
 - Capital Section and Treasury Stock
 - Retained Earnings and Treasury Stock
 - Stock and Retained Earnings
13. The company signed a note for \$50,000 at 10% interest for 60 days ordinary interest. What is the maturity value (rounded to the nearest dollar)?
- \$ 55,000
 - \$ 50,822
 - \$ 50,833
 - \$ 50,000

14. Which accounts are closed at the end of year?
- Assets, Liabilities, and Owner's Equity
 - Liabilities, Revenues, and Expenses
 - Revenues, Expenses, and Dividends
 - Revenues, Expenses, and Capital
15. When a company incurs a capital expenditure, the cost will be . . .
- Expensed as incurred.
 - Added to the cost of the original asset.
 - Added to the Depreciation Expense account.
 - Written off as a loss.
16. The processing of transferring the cost of a natural resource to an expense account is called _____?
- Amortization
 - Depletion
 - Depreciation
 - Impairment
17. The Wadell Corporation purchased a used piece of equipment. The following costs were incurred:

Purchase price	\$ 350,000
Reconditioning cost	20,000
Assembly	10,000
Mistake by Wadell in installation	5,000

What is the cost of the equipment for recording purposes?

- \$ 350,000
- \$ 370,000
- \$ 380,000
- \$ 385,000

Short Answer —Fill in the blanks with the word/phrase from the word bank. Not all words/phrases will be used.

Discount	Deficit	Direct	Common	Treasury
Indirect	Preferred	Common Size	Joint	Premium
Investing	Negative	Financing	Ordinary	GAAP

1. _____ stockholders are the owners of the corporation.
2. _____ stockholders have dividends preferences in a corporation
3. _____ stock is reacquired stock.
4. _____ and _____ are the two methods of calculating cash flow from operating activities in the statement of cash flow
5. A _____ type of financial statement allows for comparability between small and large companies.
6. A debit balance in the Retained Earnings account is called a _____.
7. When a buyer pays more than face value for bonds, they are said to pay a _____.

Round all answers to the nearest cent.

	Beginning Carrying Value	Cash Payment	Interest Expense	Decrease in Notes Payable	Ending Carrying Value
Dec. 31, 2019					
Dec. 31, 2020					
Dec. 31, 2021					
Dec. 31, 2022					
Dec. 31, 2023					

[illegible]

Problem 2 (64 Points)—The stockholders' equity section of Morton Corporation is presented below.

Stockholders' Equity

Preferred 10% Stock, \$100 Par (20,000 authorized, 10,000 issued)	\$1,000,000
Paid in Capital – Preferred Stock	400,000
Common Stock \$10 Par (100,000 authorized, 20,000 issued)	200,000
Paid in Capital – Common Stock	350,000
Retained Earnings	2,440,000
Treasury Stock (1,000 shares, at cost)	(5,500)

Record the following entries in general journal form. Journals are provided on the next two pages. If no entry is required, write "No entry."

- | | | |
|-------|----|--|
| Jan. | 25 | Issued 500 shares of preferred stock at \$125 per share. |
| June | 30 | Declared a cash dividend to preferred stock \$105,000 and \$0.10 per share on common stock to be paid on July 15. |
| July | 15 | Paid the cash dividends on preferred and common stock. |
| Sept. | 28 | Sold all the treasury stock for \$7,000. |
| Oct. | 31 | Split the common stock 4 for 1 and reduced the par value from \$10 to \$2.50 per share. After the split, there are 80,000 common shares outstanding. |
| Dec. | 31 | Declared a cash dividend to preferred stock of \$105,000 and \$0.03 per share on common stock to be paid on January 15. |

General Journal

Page 33

[illegible]

General Journal

Page 34

[illegible]

Problem 3 (51 Points)—Using the information below, prepare Statement of Cash Flows using the indirect method for the Kantak Company for April 2019. Use the form attached on the next page.

- a. Depreciation for the year was \$64,500
- b. Purchased equipment for \$170,000 cash.
- c. Equipment costing \$50,000 with accumulated depreciation of \$28,000 was sold for \$20,000 cash, realizing a \$2,000 loss.
- d. Issued Common Stock for cash.
- e. Net Income was \$48,540.
- f. Declared cash dividends of \$30,000.

	<u>2019</u>	<u>2018</u>	<u>Increase/(Decrease)</u>
<u>Assets</u>			
Cash	\$ 47,000	\$ 42,000	_____
Accounts Receivables	44,200	58,000	_____
Merchandise Inventory	282,900	257,560	_____
Equipment	552,000	432,000	_____
Accumulated Depreciation	<u>(166,100)</u>	<u>(129,600)</u>	_____
Total Assets	<u>\$760,000</u>	<u>\$659,960</u>	

<u>Liabilities & Stockholders' Equity</u>			
Accounts Payable	\$ 39,000	\$ 41,800	_____
Dividends Payable	1,900	2,400	_____
Common Stock \$10 par	120,000	100,000	_____
Paid in Capital in excess of par	389,060	324,260	_____
Retained Earnings	<u>210,040</u>	<u>191,500</u>	_____
Total Liab & Stock Equity	<u>\$760,000</u>	<u>\$659,960</u>	

[illegible]